

Asia Chart Alert

Global Markets Research

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Economics - Asia ex-Japan

China: Sustained decline in domestic auto sales volume in May

The widening divide between domestic and export markets is likely to persist in 2026.

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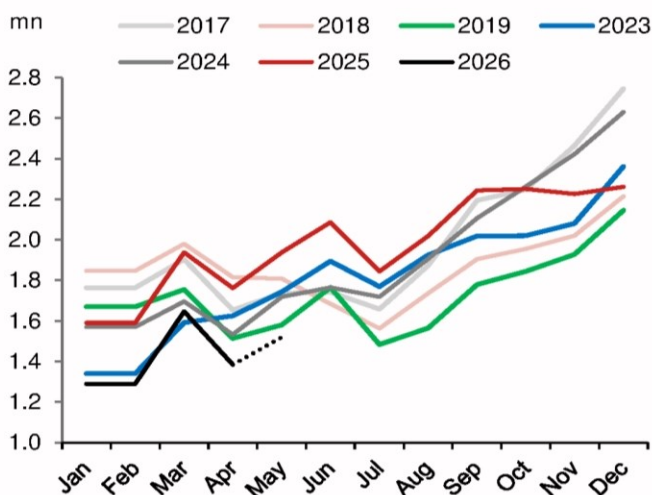
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Fig. 1: Volume growth in passenger car retail sales



- According to early estimates from the CPCA, domestic auto sales volume growth is likely to decline to -21.6 y-o-y in May from -20.0% in April and -17.0% in Q1, due to payback effects from the *scaled-back trade-in program* and *the rise in the EV purchase tax to 5% from 0%*. We expect domestic sales to continue to act as *a major drag on economic growth*. Our previous *analysis* showed that the auto sector accounts for 3.2% of GDP.
- Growth in auto exports gained further pace, accelerating to 84.1% y-o-y in April from 60.7% in Q1 in volume terms according to the CPCA, as the rise in oil and gas prices drives up global demand for Chinese EVs, and the energy disruption inadvertently provides China's carmakers with some *unique advantages*.
- The rise in exports cannot entirely offset weakness in domestic demand, as exports accounted for 19% and 15% of volume and value of China's total auto market in 2025. The persistent weakness in domestic sales growth, alongside robust export performance, further reinforces our view of a *widening divide between external and domestic demand* throughout 2026.

Note: May 2026 is an estimated number based on month-to-date growth.
Source: Wind, Nomura Global Economics.

Appendix A-1

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